

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 740

BY EDUCATION COMMITTEE

AN ACT

RELATING TO PUBLIC FUNDS; AMENDING SECTION 57-723A, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE DEPOSIT AND DISTRIBUTION OF EARNINGS RESERVE FUNDS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 57-723A, Idaho Code, be, and the same is hereby amended to read as follows:

57-723A. DEPOSIT AND DISTRIBUTION OF EARNINGS RESERVE FUNDS -- INCOME FUNDS -- ADMINISTRATIVE COSTS. (1) As directed by the state board of land commissioners, the investment board shall distribute the earnings from the investments or securities in accordance with this act and the laws governing the respective endowment funds. Earnings from the investment of permanent endowment funds related to state land grants shall be deposited into each endowment's respective earnings reserve fund for distribution as provided in this section.

(2) At least annually, the state board of land commissioners shall distribute moneys constituting earnings reserve funds, in excess of the amount necessary to pay administrative costs, to the income funds of the respective endowments, to each endowment's respective permanent endowment fund or maintained as a free fund balance in the earnings reserve funds, in amounts to be determined by the state board of land commissioners.

(3) The earnings intended to support the beneficiaries of the public school endowment shall be distributed by special distribution from the state department of education on a per-pupil basis using the average daily attendance calculation in section 33-1003A, Idaho Code, to a school district, as defined in section 33-1001, Idaho Code, for each student in kindergarten through grade 12 who receives a majority of his or her instruction at a physical facility that is owned or leased by the school district or public charter school.

~~(3)~~ (4) Moneys in the earnings reserve funds shall be available for appropriation by the legislature to pay for administrative costs incurred managing the assets of the endowments including, but not limited to, real property and monetary assets.

SECTION 2. An emergency existing therefor, which emergency is hereby declared to exist, this act shall be in full force and effect on and after July 1, 2026.